Inside Tungsten West's £71 Million Restart Financing

Government Capital, Project Expenditure and Refinancing Risk at Hemerdon

How does government capital change the restart pathway, and which dependencies shape commercial execution?

£61m gross core financing

£10m additional lending capacity remains uncommitted

Sources: S1 S2 S3 Independent research / Review edition

NWF capital supports the restart with a short loan horizon

Financial result	Economic implication
£61m gross equity and core debt	Capital supports redevelopment and replaces earlier short-term finance. The loan adds a repayment obligation during the ramp.
£40–45m remaining project spend	Execution still draws cash. October guidance excludes operating costs and needs a dated payment schedule.
£5.75m incremental analyst stress	Capex, delay and rate exposure test the sensitivity of uses. Funding headroom requires a complete cash bridge.

Management reports a fully funded restart. The next financial test is the conversion of commissioning into dependable customer collections.

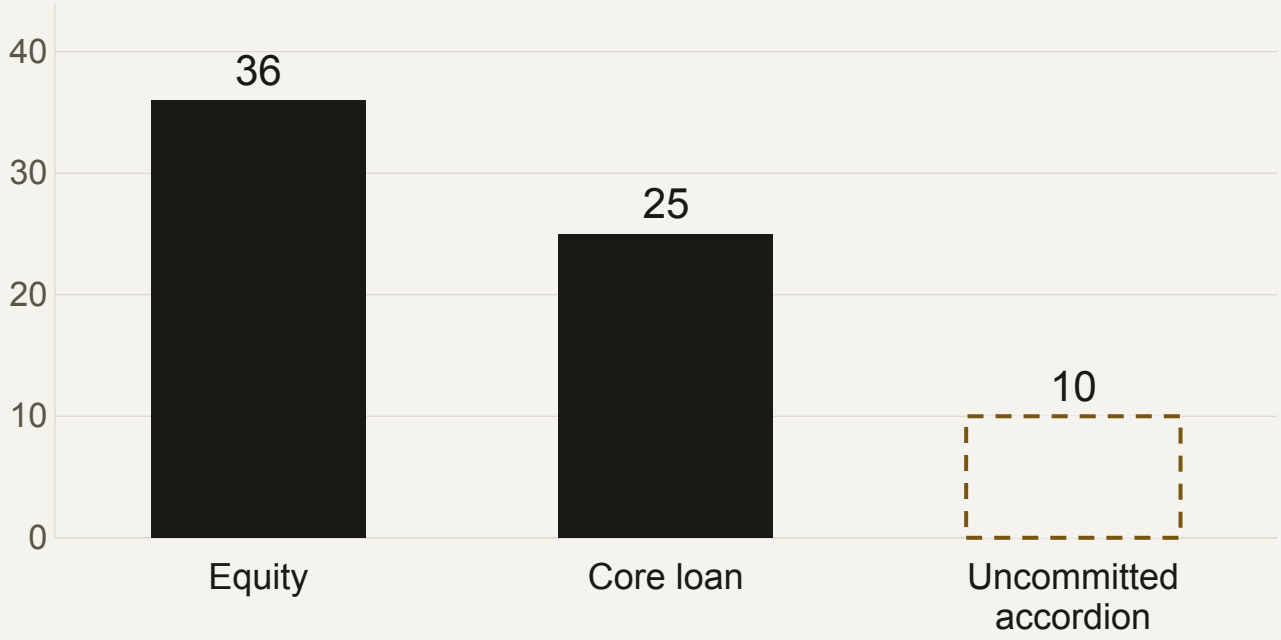
Sources: S1 S2 S4 Gross financing and October management guidance

Commissioning progress creates a route to commercial receipts

Date / horizon	Development	Cash conversion still to demonstrate
15 September 2026	Processing commencement announced	Sustained throughput and recovery into payable output.
23 September 2026	Elmet: 1,000t contained WO3 annually for eight years	Variable APT-linked pricing, delivery and customer payment.
October 2026	Coarse-gravity wet commissioning reported achieved	Repeatable performance and operating cost per payable unit.
FY2028 guidance	More than 3,300t WO3 and 600t tin	Production and shipments reconciled to invoices and collections.

Sources: S2 S6 S7 Issuer reports and guidance. Financial years end 31 March.

The £71m headline combines £61m core and £10m uncommitted



Financing status	Interpretation
£61m gross core	£36m equity and £25m loan. Equity shares residual risk; the loan requires repayment.
£10m uncommitted	Outlined capacity requires agreement and would add debt.

£61m core gross transaction financing

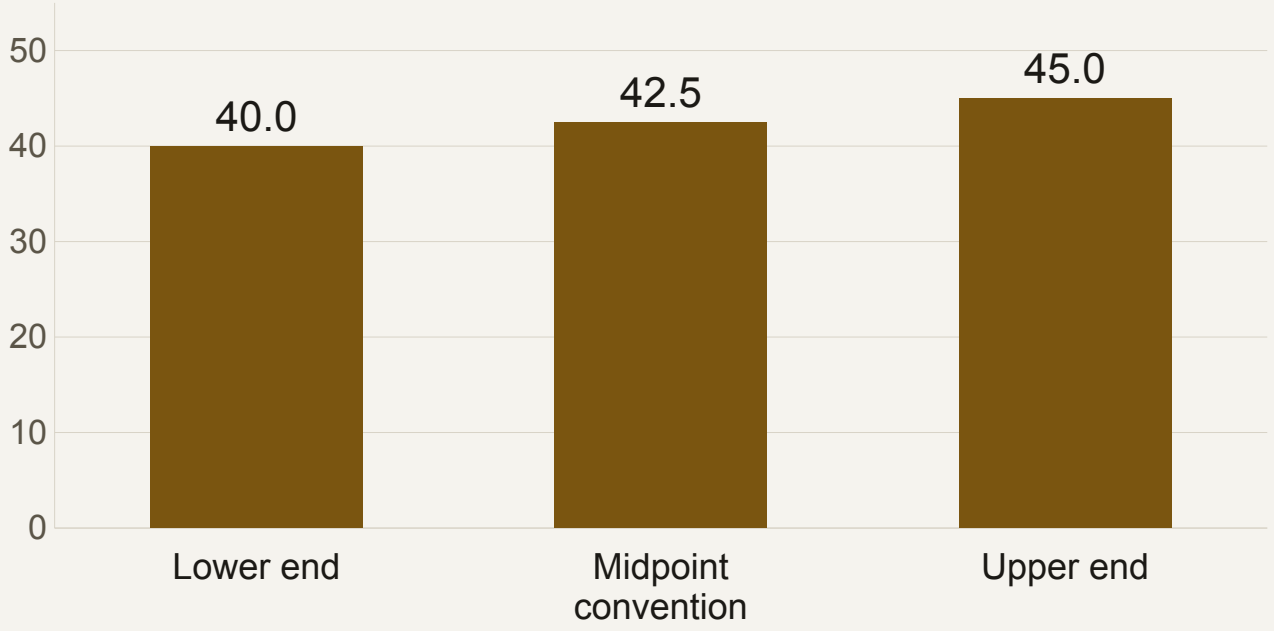
Sources: S1 S2 S3 GBP million. Gross transaction financing; full core-loan draw disclosed by 2 September.

Short tenor and margin steps increase the cost of delay

Term / document	Supported disclosure	Financial consequence
366-day tenor	Agreement-date versus drawdown origin differs	A precise repayment calendar requires the definitive facility.
Loan pricing	SONIA + 5.5pp initially; +1pp each quarter	Later collections can coincide with a rising financing margin.
Group security deed	Dated 28 August; four group chargors and GLAS trustee	Financed-equipment exclusions make creditor scope and priority material.
Facility linkage	Referenced loan agreement leaves lender unnamed	NWF attribution remains an inference. Recovery analysis needs the full documents.

Sources: S1 S2 S4 S8 Announced terms and October disclosure. Exact executed maturity remains unresolved.

October spend guidance needs to be mapped to cash payments



£25–35m in FY2027

Company guidance places the balance in the following year.

31 March audited cash

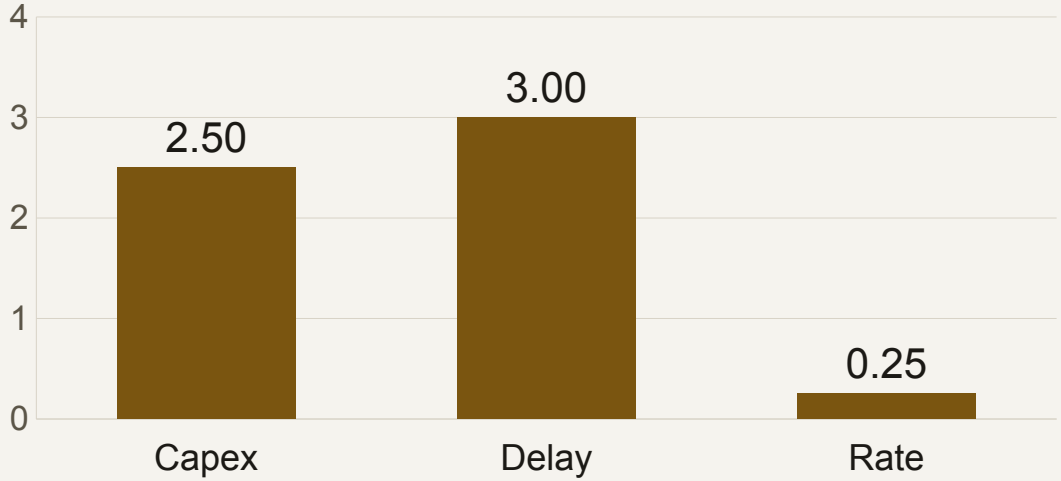
£25.486m general-use group cash
£14.912m separately restricted escrow

Net financing receipts, bridge repayment and subsequent operating and capital flows determine later cash headroom.

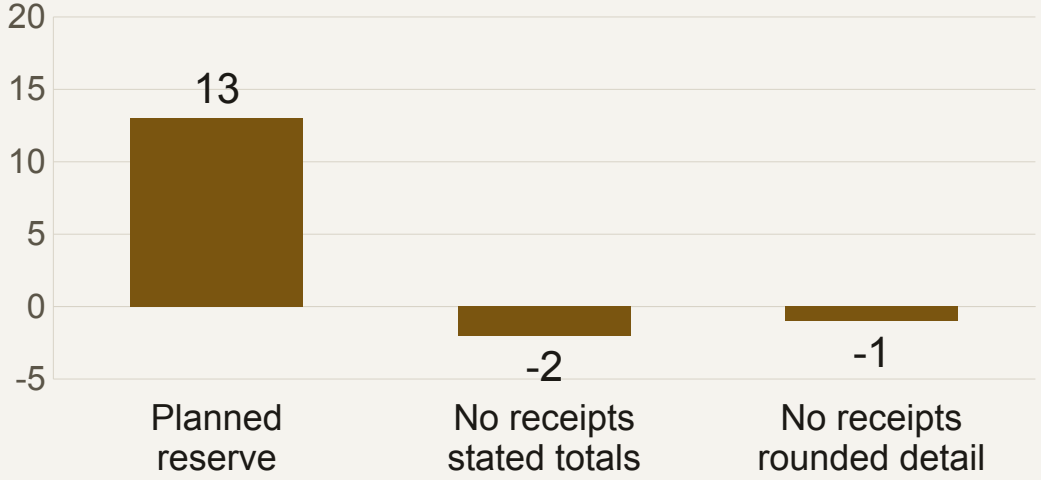
Sources: S1 S2 S5 S10 GBP million. Remaining project expenditure excludes operating costs.

Cost stress and receipt timing test separate exposures

October increment above £42.5m



Original August plan ending cash



£5.75m incremental stress

Company delay sensitivity £3m. Analyst rate proxy: 1% × £25m × one year. No accordion draw.

£15m anticipated receipts deferred

Approximately £2m / £1m negative cash, depending on rounding convention. This tests the original plan.

Sources: S1 S2 S4 GBP million. Separate dated sensitivities, with no combined current-gap inference.

Payable production and collections determine cash generation

Conversion stage	Economic dependence	Evidence to monitor
Production and recovery	Payable volume drives receipts	Sustained throughput and contained WO3 shipments.
Delivery and acceptance	Contract pricing and settlement determine revenue	Quality, discounts and invoice terms.
Customer collections	Working capital affects cash available for debt service	Receivable ageing, payment dates and bank receipts.
Repayment or refinancing	Reliable cash must align with contractual payments	Monthly forecast through executed maturity.

£111.5m

Selected annual cash reference

£438.15/mtu

Tungsten-only coverage reference

Excludes tin/aggregate receipts, restart and growth capex, tax and working capital. Full break-even and DSCR remain unestablished.

Sources: S2 S7 FY2028 selected cash reference and fixed model coefficients

Capital providers need different evidence from the same ramp

Capital provider	Decision exposure	Diligence priority
Equity investors	Residual cash returns and future dilution	Payable output, collections and any further financing terms.
Project lenders	Repayment date, collateral and replacement capital	Executed facility, creditor priority, monthly cash and equipment-debt schedule.
Public capital providers	Instrument returns and dependable strategic supply	Capital deployment into commissioned capacity, then verified delivery.

A reconciled liquidity and debt schedule would allow operating progress to be assessed against financial obligations.

Sources: S1 S2 S4 S8 Independent financial interpretation

Collections and refinancing are the next financing tests

Indicator	Stronger financial position	Pressure on the timetable
Liquidity and expenditure	Cash reconciled to dated obligations	Rising unpaid commitments or restricted cash.
Operating conversion	Sustained output and timely collections	Recovery, acceptance or customer-payment delays.
Loan repayment	Cash cover or replacement capital agreed	An approaching maturity with financing unresolved.

Government capital supports the restart pathway

Current liquidity, valuation and repayment sufficiency remain open diligence questions.

Sources: S1 S2 S4 S7 Independent assessment / Prepared for final publication review